HEAT TRANSFER EQUIPMENT COMPANY, INC.
HALF MOON BAY • SACRAMENTO • LOS ANGELES
TEL (650) 873-4353
WWW.HTECOMPANY.COM

NOTICE

WE OFFER THIS MATERIAL IN GOOD FAITH TO MEET THE INTENT OF THE SPECIFICATIONS, HOWEVER DUE TO CONDITIONS BEYOND OUR CONTROL, WE CANNOT GUARANTEE ACCEPTANCE. PLEASE NOTE:

- WE RESERVE THE RIGHT TO RE-QUOTE IF THE PROJECT REQUIRES **BUY AMERICAN** COMPLIANCE.
- DUE TO FREQUENTLY IMPLEMENTED PRICE ADJUSTMENTS ACROSS ALL MANUFACTURES FROM SUPPLY SHORTAGES, INCREASES IN RAW MATERIAL COSTS, & COMPLICATIONS WITH LOGISTICS, **WE CAN ONLY ACCEPT PURCHASE ORDERS INTENDED FOR IMMEDIATE RELEASE**.
- ALL INVOICES ARE DUE 30 DAYS FROM THE INVOICE DATE. INVOICES WILL BE CONSIDERED PAST DUE AFTER THAT TIME. INTEREST AT THE MAXIMUM RATE PERMITTED (18%) PER ANNUM/1-2% PER MONTH) BY LAW WILL BE CHARGED ON ALL PAST DUE ACCOUNTS.
    - **PROJECTS WITH PURCHASES OVER $50,000.00 OR CUSTOMERS THAT HAVE NOT DONE PRIOR BUSINESS WITH HEAT TRANSFER EQUIPMENT COMPANY MAY BE SUBJECT TO PAYMENT PLAN STRUCTURE OF 25% DOWN PAYMENT AT RELEASE OF ORDER, 50% AT TIME OF SHIPMENT AND REMAINDER IN 30 DAYS.**
- FREIGHT LINES AND THE TYPE OF DELIVERY TRUCK WILL BE AT OUR DISCRETION. IF A CUSTOMER HAS SPECIAL REQUIREMENTS, INCLUDING RE-ROUTING, ADDITIONAL COSTS MAY BE IMPOSED.
- **START-UP:** OUR PROPOSAL DOES NOT INCLUDE START-UP SERVICE, JOBSITE VISITS, OR TRAINING, UNLESS SPECIFICALLY MENTIONED IN THE BODY OF OUR QUOTATION. SUCH SERVICES ARE AVAILABLE AT $270.00 PER HOUR DURING NORMAL BUSINESS HOURS. STARTUP AND BILLING GUIDELINES ARE AS FOLLOWS:
    - THE RATE DURING NORMAL BUSINESS HOURS IS $270.00 / HR. PLUS TRAVEL FROM PORTAL TO PORTAL, AND IS BETWEEN 7:30AM – 4:30PM, M-F. TIME AND A HALF RATE APPLIES AFTER 8 HOURS OR 4:30 PM DURING NORMAL BUSINESS HOURS. WEEKEND RATES ARE TIME AND A HALF DURING NORMAL BUSINESS HOURS, AND DOUBLE TIME AFTER 8 HOURS OR AFTER 4:30PM ON SATURDAY AND SUNDAY.
    - THE STARTUP "TRIP" QUOTED WILL ABIDE BY THE TERMS AND CONDITIONS LISTED ABOVE IN ANY SITUATION. IT IS NOT GUARANTEED THAT THE STARTUP CAN BE COMPLETED IN THE QUOTED TIMEFRAME ABOVE.
    - THE PRE-STARTUP CHECKLIST MUST BE FILLED OUT AND ALL REQUIREMENTS, TERMS & CONDITIONS MUST BE CONFIRMED, SIGNED, AND RETURNED PRIOR TO SCHEDULING THE STARTUP.
    - AT LEAST 2-WEEKS' NOTICE REQUIRED FOR SCHEDULING STARTUP.
    - SEND ALL STARTUP REQUESTS AND FORMS TO PRODUCTSUPPORT@HTECOMPANY.COM.

  PLEASE REFER TO START-UP IN OUR TERMS & CONDITIONS FOR MORE INFORMATION.
- **SUBMITTALS:** APPROVED SUBMITTALS ARE REQUIRED PRIOR TO ORDER RELEASE. A HOLD-FOR-RELEASE PURCHASE ORDER OR LETTER OF INTENT WILL BE REQUIRED UPON REQUEST FOR SUBMITTALS. SUBMITTALS CAN TAKE UP TO 2-WEEKS TO CREATE.
    - **A 5% DOWN PAYMENT OF QUOTE TOTAL WILL BE REQUIRED FOR ANY CUSTOM FABRICATED PACKAGE SUBMITTAL.**
- **STANDARD EQUIPMENT WARRANTY IS FOR ONE YEAR AND COVERS ONLY MATERIAL. THE LABOR PORTION (IF ANY) IS NOT INCLUDED, BUT CAN BE NEGOTIATED ON A PER-ITEM-BASIS.**

IF YOU HAVE ANY QUESTIONS, PLEASE REACH OUT TO YOUR SALES ASSOCIATE.

TERMS & CONDITIONS AS FOLLOWS.

Thank you for the opportunity to provide this proposal.

Sincerely,

Hazel Caling
Inside Sales
Heat Transfer Equipment Company, Inc.

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EQUIPMENT COMPANY, INC.

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TERMS & CONDITIONS OF SALE

All sales of goods based upon quotations provided by Heat Transfer Equipment Company or Htec Packaged Systems & Controls, (hereinafter referred to as HTE) are made subject to the terms and conditions below.

It is mutually agreed between HTE and Buyer that the terms and conditions contained herein constitute the entire complete and exclusive agreement and understanding between HTE and the Buyer and supersede all other agreements, oral or written heretofore made between Buyer and Seller relating to the subject matter contained herein and if Buyer presents a Purchase Order with other terms and conditions, the terms and conditions expressed herein will control. No understanding, promise or representation, and no waiver alteration, addition to, or modification of any provision hereof, shall be binding upon HTE unless agreed to in writing by HTE's Chief Executive Officer or HTE's Chief Financial Officer. The terms set forth herein shall apply to each purchase agreement as if set forth separately for each order. In the event that any provision of the Purchase Order is found to be invalid by a court of competent jurisdiction, all remaining provisions of the Purchase Order shall remain in full force and effect.

Clarifications & Exclusions on Quotations: For any item on the quote that indicates 'NO SPECS' HTE reserves the right to re-quote the price once written specifications are received from Buyer or Buyer's designated representative. For any items on the quote for which 'ALTERNATES' are offered for consideration, those alternatives are subject to Buyer's or Buyer's designated representative's approval. For any items on the quote that includes the statement 'ALT MFG' HTE believes, but does not guarantee the item meets the intent of the written specifications; HTE merely offers the item for Buyer's consideration. HTE does not provide, and all quotations exclude the provision of SEISMIC certification of equipment, seismic analysis, shake table testing, seismic experience data, seismic calculations or supports, and guarantees regarding coatings, other than factory standard, unless these items are explicitly included within HTE quote descriptions. Quotations exclude all requirements listed under the EXECUTION portion of the specifications.

Liability: HTE SHALL NOT BE LIABLE FOR ANY SPECIAL, INCIDENTAL, INDIRECT, CONSEQUENTIAL EXEMPLARY OR PUNITIVE DAMAGES OR LOSSES WHICH MAY BE SUFFERED BY BUYER WITH RESPECT TO THIS AGREEMENT, INCLUDING BUT NOT LIMITED TO, LOSS OF PRESENT OR PROSPECTIVE PROFITS, LOSS OF INCOME OR REVENUE, EXPENDITURES, INVESTMENTS OR COMMITMENTS, OR LOSS OF BUSINESS OR DATA, WHETHER IN AN ACTION IN CONTRACT, EQUITY, NEGLIGENCE, INTENDED CONDUCT, TORT, OR OTHERWISE (INCLUDING BREACH OF WARRANTY, NEGLIGENCE, AND STRICT LIABILITY IN TORT), EVEN IF SUCH HTE HAS BEEN ADVISED OF THE POSSIBILITY OF SUCH DAMAGES. THE TOTAL AGGREGATE LIABILITY OF HTE FOR CLAIMS ASSERTED UNDER THIS AGREEMENT SHALL BE LIMITED TO THE TOTAL PURCHASE AGREEMENT PRICE. HTE WILL NOT ACCEPT INDEMNIFICATION CLAUSES.

Pricing: All prices are valid for 72 Hours, in United States dollars and are exclusive of tax. Buyer agrees to pay and be responsible for payment of any applicable taxes, except for taxes based on HTE's net income. Unless specific pre-payment terms are noted within body of quotation, Buyer shall pay all invoices within 30 days of receipt. For all commercial projects over $5,000.00, Buyer will provide the address of the contract work, and information for pre-lien purposes prior to HTE accepting the Purchase Order.

Shipping & Freight: HTE will ship all items FOB origin via common ground carrier to Buyer's specified location unless otherwise specified. Buyer will pay additional charges for any special shipping requirements. The Buyer agrees to inspect all shipments of goods in accordance with this agreement upon receipt thereof and to report immediately any damage or shortage to the seller and to delivering carrier. Buyer also agrees to cooperate with HTE to pursue claims for any damage or shortage against the carrier. Unless otherwise so specified, HTE shall not bear the risk of loss of, or damage to, the Goods covered by the Purchase Order until delivered to Buyer's plant or to such other place as may be designated on the face of the Purchase Order, unless Buyer requires special shipping requirements. HTE shall also not bear the risk of loss of, or damage to, rejected Goods after receipt of Buyer's notice of rejection; provided, however, that Buyer shall bear such risk as to loss or damage caused by willful or negligent acts of its officers, agents or employees acting within the scope of their employment.
HTE shall provide an estimate of the date items will arrive at Buyer's location. This will be estimates only and HTE does not guarantee the items will arrive by any specific date. HTE does not assume responsibility for costs incurred by the Buyer due to failure of delivery of the items on a scheduled date.

Title: Right and title to items purchased from HTE will pass upon payment for said items by Buyer, regardless of whether the item has been installed into the Buyer's project or job site.

Returns &/or Cancellations Policy: All custom built and special orders cannot be cancelled once the Purchase Order is accepted and are not eligible for return. HTE stock products can be returned, if in excellent condition and in original undamaged shipping boxes, but will be subject to 25% re-stock charges. Buyer must obtain written permission from HTE prior to returning any item, and if that permission is not obtained, HTE will not accept the returned item.

Lead Time: All prices offered in this quotation are based on standard factory lead times (or) as stated within the quotation. The quoted lead time begins only after Buyer has signed and accepted the Purchase Order Terms and Conditions and returned a copy of applicable submittals marked "approved and released". HTE may expedite a shipment upon request, at an additional charge. HTE shall provide an estimate of the date items will arrive, ETA to Buyer's location. This will be estimates only and HTE does not guarantee the items will arrive by any specific date. HTE does not assume responsibility for costs incurred by the Buyer due to failure of delivery of the items on a scheduled date.

Job Site Assistance: HTE Sales Engineers are available at the Buyer's job site to answer questions regarding commercial engineered equipment purchased from HTE including consulting during installation of HTE provided items, to assure quality and satisfaction. Assistance is available on site, if requested two weeks prior to the desired date, and via telephone. Travel charges may apply, subject to location, contact HTE for specifics.

Start-Up: HTE will provide factory authorized start-up with the purchase of commercial equipment. Rates will vary by equipment type and project location. Services are available during normal work days and hours. Projects requiring that specific prevailing wage requirements be met may require additional cost and arrangements. Buyer must provide at least two weeks notice to HTE, prior to the visit, and be on site to coordinate with any other third party staff. If additional jobsite visits are required for circumstances not related to our equipment, HTE reserves the right to request a purchase order to cover our additional labor costs.

Commissioning: HTE does not provide commissioning services. HTE will provide training as outlined in the Purchase Order but will not be responsible for commissioning services.

Payment: All invoices are due 30 days from the invoice date. Invoices will be considered past due after that time. Interest at the maximum rate permitted (18%) per annum/1-2% per month) by law will be charged on all past due accounts. Should an invoice or account be referred to collection, then acceptance of the goods will constitute your agreement to pay all collection agency fees, attorneys' fees, and court costs. Accounts with net 30 payment terms must provide a purchase order in written form for an order to be processed. All invoices paid with a credit card will incur a 4% surcharge fee on the total transaction amount.

Warranty: For items provided by HTE, but manufactured by others, HTE extends the manufacturer's warranty to the Buyer. For items manufactured by HTE, HTE provides a 1 year warranty that the deliverables hereunder will be free from defects in material and workmanship, and that services will be the kind and quality designated or specified in the quotation. Warranty requires install, start-up and operation as per manufacturers IOM. As a value added rep firm, we allow pre-approved labor within the warranty coverage period.
If the deliverables do not conform to the above applicable warranty, and if the Buyer promptly notifies HTE, HTE shall thereupon, if it confirms the existence of the defects, correct defects, including non-conformance with the specification, either (at HTE's option) by repairing at no charge to Buyer the defective spare part or equipment furnished hereunder, or by making available at the Buyer's location necessary replacement products.

THIS LIMITED WARRANTY DOES NOT COVER LOSS OR DAMAGE WHICH: (I) IS DUE TO IMPROPER INSTALLATION, MAINTENANCE, MISUSE, NEGLECT, OR ANY CAUSE OTHER THAN ORDINARY COMMERCIAL OR INDUSTRIAL APPLICATION BY BUYER OR ITS CUSTOMER OR CONTRACTORS; (II) IS DUE TO ADJUSTMENT, REPAIR OR MODIFICATION BY ANY PERSON OTHER THAN AS AUTHORIZED BY HTE OR MANUFACTURER; OR, (III) IS DUE TO STORAGE OR USE IN AN IMPROPER ENVIRONMENT, EXCESSIVE OR INADEQUATE HEATING OR AIR CONDITIONING, AND ELECTRICAL POWER FAILURES, SURGES OR OTHER IRREGULARITIES WHILE IN THE CUSTODY OR CONTROL OF BUYER OR ITS CUSTOMER OR CONTRACTORS. HTE IS NOT RESPONSIBLE FOR PROBLEMS CAUSED BY HARDWARE OR COMPUTER OPERATING SYSTEMS WHICH ARE NOT COMPATIBLE
WITH THE SYSTEM SPECIFICATIONS AS SET FORTH IN HTE'S TECHNICAL DOCUMENTATION. HTE SHALL HAVE NO LIABILITY WITH RESPECT TO DELIVERABLES THAT WERE SUBJECTED TO ABUSE, VANDALISM OR MISUSE. THE WARRANTY SET FORTH HEREIN IS THE SOLE AND EXCLUSIVE WARRANTY, IN LIEU OF ALL OTHER WARRANTIES, AND NO OTHER WARRANTIES OF ANY KIND SHALL APPLY, WHETHER EXPRESS OR IMPLIED, INCLUDING, BUT NOT LIMITED TO, THE IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, AND FREEDOM FROM THIRD PARTY INFRINGEMENT CLAIMS.

Force Majeure: The parties shall not be liable to each other for any loss, damage or other claim whatsoever arising out of a delay, failure or inability to perform any obligation(s) contained in the purchase agreement which is beyond a party's reasonable control. Such causes may include, but are not limited to, any act of God, fire, flood, lightning, earthquake, tornado, labor disputes, transportation delays, war, terrorism, revolution, riot, sabotage, act of the public enemy, explosion, embargo, confiscation or act or failure to act of any government, agency, board or commission. Lack of finances shall in no event be deemed to be a cause beyond a party's control.

Assignment: Assignment of this Purchase Order or any interest therein, or of any payment due or to become due hereunder, without prior written consent of the other Party to this Purchase Order is void.

Waiver: No waiver by HTE of any breach of the terms and conditions or performance of this Purchase Order shall constitute a waiver of any subsequent breach.